

for overseas acquisitions and then bought out little-known companies at exaggerated valuations. These ‘arrangements’ ensured a chunk of the payment would find its way back to the promoter.

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One of the unintended consequences of dematerialization was the encouragement of speculative tendencies in promoters. In the days of physical shares, promoters would learn the identity of the buyer or seller only when the shares came to them for transfer. But with dematerialization, they could know within a couple of days which fund manager was buying or selling their stock. The promoters would then use this information to take up positions using shares in their *benami* accounts. Or, they would approach fixers who would negotiate a deal with the fund managers. If a fund manager was buying a big chunk of the company’s shares, the promoter would offer him shares from the *benami* account at a slight discount to the market price. Or, if the fund manager was selling, he would offer to buy the entire block of shares so that the price did not weaken.

In 2005, SEBI had tried to make large deals more transparent by naming the buyers and sellers. For all trades in a stock where the total quantity of shares bought or sold was more than 0.5 per cent of the equity base of the company, brokers had to disclose to the stock exchanges the name of the client and the traded price. But operators and promoters managed to find a way around this too.

If a promoter or market operator was transacting a deal of this size, the trade would be routed through a clutch of privately owned finance companies in such a way that no one entity violated the 0.5 per cent threshold. The information on the stock exchange website would only show the name of the fund house and not the details of the counterparty.

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With the market once again in the grip of a bull run, Ketan Parekh was back in action. Since he had been banned by SEBI till 2017, he had to operate through fronts. Interestingly, he still had friends among fund managers, and his services were sought by promoters of many mid-cap companies, eager for lofty valuations for their shares.